

Lending and Affordability Policy

Organisation	North Pennine Community Credit Union (NPCU)
Version	3.1
Status	SUPERSEDED
Effective date	01 January 2025
Policy owner	Head of Lending
Classification	Synthetic training material

Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Document Status

This section defines how North Pennine Community Credit Union (NPCU) applies document status in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	This version was superseded by version 4.0 effective 01 June 2026 and must not be used for decisions after that date.
1.2	Historical cases should be assessed against the policy that was effective when the decision was made.

Control 1. This version was superseded by version 4.0 effective 01 June 2026 and must not be used for decisions after that date. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Historical cases should be assessed against the policy that was effective when the decision was made. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Standard Personal Loan Eligibility

This section defines how North Pennine Community Credit Union (NPCU) applies standard personal loan eligibility in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
2.1	A standard personal loan normally requires at least 60 days of active membership before application.
2.2	The maximum standard personal loan is £15,000 subject to affordability and aggregate exposure.

Ref	Key requirement
2.3	Exceptions require appropriate delegated authority.

Control 1. A standard personal loan normally requires at least 60 days of active membership before application. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. The maximum standard personal loan is £15,000 subject to affordability and aggregate exposure. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Exceptions require appropriate delegated authority. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

3. Join and Borrow Product

This section defines how North Pennine Community Credit Union (NPCU) applies join and borrow product in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
3.1	Join and Borrow may be used before 60 days of membership.
3.2	The maximum Join and Borrow principal is £3,000.
3.3	The minimum internal risk score is 620 unless manually approved.
3.4	Total contractual debt service should not exceed 40 percent of verified net monthly income.

Control 1. Join and Borrow may be used before 60 days of membership. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. The maximum Join and Borrow principal is £3,000. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. The minimum internal risk score is 620 unless manually approved. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 4. Total contractual debt service should not exceed 40 percent of verified net monthly income. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

4. Affordability and Credit Assessment

This section defines how North Pennine Community Credit Union (NPCU) applies affordability and credit assessment in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
4.1	Income and expenditure must be verified using reliable sources.
4.2	External credit information should be reviewed with internal conduct and member circumstances.
4.3	Overrides must be recorded and reported.

Control 1. Income and expenditure must be verified using reliable sources. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. External credit information should be reviewed with internal conduct and member circumstances. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Overrides must be recorded and reported. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

5. Monitoring

This section defines how North Pennine Community Credit Union (NPCU) applies monitoring in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
5.1	Management reporting should review early arrears and overrides.
5.2	Product performance should be considered by risk band and origination period.
5.3	Policy changes require controlled implementation.

Control 1. Management reporting should review early arrears and overrides. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Product performance should be considered by risk band and origination period. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Policy changes require controlled implementation. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

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